CREDIT PROPOSAL — REFERENCE (BUSINESS REQUEST, CREDIT COMMENTS, RECOMMENDATION)

Nukhba Polymer Industries Co. · New (takeover)
Date 15/10/2026 · RM Abeer Al-Omari

Key details

Unit / branch:	Corporate Banking — Eastern Province / Jubail Branch
Customer:	Nukhba Polymer Industries Co.
CIF / base no.:	New to bank
Group:	— (—)
Date account opened:	—
Related / connected party:	No
Date:	15/10/2026
AO / RO:	Abeer Al-Omari / Hisham Al-Qahtani
Purpose code:	TO-02 Takeover of facilities
Request type:	New (takeover)
Review date:	31/10/2027
Industry code:	C2220 — Manufacture of plastics products
Collateral code:	MC — Charge over machinery
Rating (existing / proposed):	— / BB-
CR number:	2055104486

1. Action requested

Approve new facilities of SAR 157.0m to Nukhba Polymer Industries Co. (new to bank) to take over its facilities with Coastal Gulf Bank (outstanding SAR 134.0m at 30/09/2026): term loan SAR 72.0m (48 months), short-term Murabaha SAR 45.0m and letters of credit SAR 40.0m, priced at 3M SAIBOR + 1.25% (floor 5.25%). Funded SAR 117.0m; the LG line of SAR 15.0m at Tihama Investment Bank stays there.

2. Facilities

Facility (SAR m)	Existing	Outstanding	Proposed	Cash margin	Particulars
Term loan (takeover of Coastal Gulf Bank)	**0.0**	**0.0**	**72.0**		**3M SAIBOR + 1.25%, floor 5.25%; 48 months**
Short-term Murabaha	**0.0**	**0.0**	**45.0**		**3M SAIBOR + 1.25%, floor 5.25%; Up to 180 days per draw**
Letters of credit (sight / usance 120 days)	**0.0**	**0.0**	**40.0**	**10%**	**Comm. 0.20% p.q.; Usance up to 120 days**
Total facilities	**0.0**	**0.0**	**157.0**		

Arrangement fee 0.50% on the term loan (SAR 360,000); study and documentation fee SAR 25,000.

3. Security and support

- All limits: first-ranking charge over the machinery (market value SAR 162.0m, FSV SAR 105.0m, valuation 22/07/2026), to be released by Coastal Gulf Bank on takeover and registered to the Bank within 30 days of disbursement.
- All limits: personal guarantee of Saleh Ibrahim Al-Mansour (60%; net worth SAR 105.2m as per statement of 31/07/2026).
- All limits: promissory note SAR 157.0m signed by the authorised signatory.
- Term loan: assignment of the machinery insurance (sum insured SAR 175.0m) with the Bank as loss payee.
- LCs: title documents to order of the Bank; 10% cash margin.

4. Terms and conditions

1. Term loan disbursed only to the current bank against its payoff letter and the release of its charge; no part to the customer.
2. Murabaha draws against supplier invoices for resin and masterbatch; maximum tenor 180 days per draw.
3. LCs for PET resin and masterbatch imports only; usance settled from own funds or Murabaha.

4. Route not less than 70% of turnover (about SAR 220m a year, 12-month statement credits SAR 312.7m) through the Bank within 6 months.
5. Financial covenant: DSCR not below 1.20x, tested on audited accounts.
6. Audited financial statements within 120 days of year end; quarterly management accounts within 45 days.

5. Group exposure

Entity	Funded existing	Total existing	Funded proposed	Total proposed	Outstanding
Nukhba Polymer Industries Co. (no group entities)	0.0	0.0	117.0	157.0	0.0
Group total	0.0	0.0	117.0	157.0	0.0

References: credit file request CFR/EP/2026/0402 (15/10/2026); customer's letter NPI/CEO/2026/41 (08/10/2026); partners' resolution PR-2026-05 (07/10/2026, borrowing up to SAR 180.0m).

6. Background

Nukhba Polymer Industries Co. (CR 2055104486, Jubail, CR valid to 01/09/2027), LLC incorporated 04/09/2011, capital SAR 100.0m (raised from SAR 60.0m on 12/05/2019 for the PET preform line). Saleh Ibrahim Al-Mansour 60%, Khalid Ibrahim Al-Mansour 40%; no group entities.

Manufactures PET preforms, HDPE drums and jerrycans and stretch films on 12 lines (6 PET, 4 blow-moulding, 2 film); 386 staff (Nitaqat Medium Green, 26.9% vs 23.0%). Exports 24% to GCC (2024: 26%) (Note 9).

Sales terms as per business: Gulf Beverage Bottling 22.0% (60 days), Eastern Dairy Foods 14.0% (45 days), 14 GCC customers 24.0% (60-90 days, LC / open account), 96 local customers 40.0% (30-60 days). Purchases: Orient Polymers Trading FZE (UAE) 38.2% on LC 120 days usance; Jubail Petrochemical Marketing 23.7% on 30 days.

Shareholder	Born	Nationality	Share	UBO
Saleh Ibrahim Al-Mansour (Chairman and GM)	1964	Saudi	60.0%	Yes
Khalid Ibrahim Al-Mansour	1970	Saudi	40.0%	Yes

7. Relationship with the Bank

New to bank; account to be opened on approval. Banks with Coastal Gulf Bank since 04/2021 (limits SAR 190.0m, outstanding SAR 134.0m at 30/09/2026) and Tihama Investment Bank since 02/2022 (LGs SAR 15.0m, outstanding SAR 9.2m).

Statements Oct 2025 – Sep 2026: Coastal Gulf Bank credits SAR 256.4m, Tihama Investment Bank SAR 56.3m; no returned cheques. The customer approached the Bank on pricing grounds (as per business).

8. Financials (as per audited and in-house statements)

SAR m	FY2024	FY2025	9M2026
Revenue	318.2	296.4	214.1
Revenue growth	5.5%	-6.9%	—
Gross profit	48.0	39.1	27.1
Gross margin	15.1%	13.2%	12.7%
Operating profit	27.6	18.2	11.5
Net profit	15.0	4.8	1.9
Net margin	4.7%	1.6%	0.9%
EBITDA	49.4	40.8	28.6
Total assets	360.4	341.8	330.1
Bank debt, short term	90.0	102.3	98.0
Bank debt, long term	64.0	32.0	36.0
Net worth (TNW)	131.9	136.7	138.6
Leverage (TL / TNW)	1.73x	1.50x	1.38x
Gearing (bank debt / TNW)	1.17x	0.98x	0.97x
Working capital	-25.2	-40.6	-21.3
Current ratio	0.84x	0.75x	0.85x
Operating cash flow	34.8	28.1	2.3

Auditor: FY2024 Rawasi Audit & Advisory, unqualified (signed 20/04/2025); FY2025 Rawasi Audit & Advisory, unqualified (signed 15/04/2026). 9M2026 in-house, prepared by Fadi Nabil Haddad (unaudited).

9. RM's justification

Jubail manufacturer since 2011 with revenue SAR 296.4m (FY2025), machinery valued at SAR 162.0m (average age 6.5 years) and two beverage and dairy customers at 36% of sales.

The takeover brings payroll for 386 staff, resin imports (SAR 98.4m from one supplier on LC) and export proceeds (24% of sales).

As per the customer the record with Coastal Gulf Bank has no delays or restructuring and the move is for pricing (2.25% there); we recommend approval at 3M SAIBOR + 1.25%.

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Abeer Al-Omari
Relationship Manager

_____
Khalid Al-Otaibi
Unit Head, Corporate Banking — Eastern Province

CREDIT DIVISION COMMENTS

Independent review of the business request against the documents on file and the Bank's own records. Figures in SAR million unless stated; prior period in brackets.

Bureau and the current bank: undisclosed restructuring

The request states 'an excellent track record with Coastal Gulf Bank with no delays or restructuring'. Upon checking the SIMAH company report (09/10/2026), the Coastal Gulf Bank term loan is reported as 'Restructured': the SAR 8.0m instalment of 31/12/2025 was not paid, 31-60 days past due in 01/2026 and 02/2026, rescheduled on 18/03/2026. The FY2025 audited accounts confirm it (Note 24: four instalments of 31/12/2025 – 30/09/2026, SAR 32.0m, deferred; maturity extended from 31/12/2027 to 30/09/2028), Coastal Gulf Bank's statement of 30/09/2026 shows the new schedule (8 x SAR 9.0m from 31/12/2026) and the guarantor's SIMAH report shows his guarantee of SAR 190.0m as 'Restructured (03/2026)'. The offer letter supplied is dated 12/06/2023, before the rescheduling.

The rescheduling followed a covenant breach: DSCR 0.92x in FY2025 against 1.25x required (FY2024 1.40x; Note 16). Three bureau enquiries in six months (Sandstone Harbour Bank 10/2026, Al Rimal Commercial Bank 07/2026, Arabian Crescent Bank 05/2026) indicate that the customer approached at least two other banks for the same takeover; business did not mention them.

Bureau (SIMAH, 09/10/2026)	Limits	Outstanding	Overdue	Score	Status / remark
Nukhba Polymer Industries Co.	205.0	143.2	0.0	598	CGB term loan restructured 18/03/2026; others current
Saleh Ibrahim Al-Mansour (guarantor)	0.2	0.04	0.0	702	Own current; guarantee SAR 190.0m restructured
Khalid Ibrahim Al-Mansour	2.4	1.6	0.0	736	24 of 24 months current; no guarantee offered

Other banks' facilities

Bank (SAR m)	Facility	Limit	Outstanding 30/09/2026	Pricing	Maturity
Coastal Gulf Bank	Term loan (rescheduled)	120.0	72.0	3M SAIBOR + 2.25%	30/09/2028 (was 31/12/2027)
Coastal Gulf Bank	Short-term Murabaha	40.0	38.4	3M SAIBOR + 2.25%	rolling, 180 days
Coastal Gulf Bank	LCs incl. acceptances	30.0	23.6	0.30% p.q.	per LC
Tihama Investment Bank	Letters of guarantee	15.0	9.2	0.80% p.a.; 15% margin	offer valid to 30/11/2026
Total		205.0	143.2		

Client-declared figures agree with SIMAH and the banks' statements (SAR 143.2m). Not clarified: the Tihama Investment Bank LG line (SAR 15.0m) stays outside the takeover, so total bank lines after approval would be SAR 172.0m; the request is silent on it.

Financials

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Operating profit	27.6	18.2	11.5
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Net margin	4.7%	1.6%	0.9%
EBITDA	49.4	40.8	28.6
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Gearing (bank debt / TNW)	1.17x	0.98x	0.97x
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Current ratio	0.84x	0.75x	0.85x
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- Revenue fell to SAR 296.4m in FY2025 (PY 318.2m, -6.9%); 9M2026 SAR 214.1m, annualised SAR 285.5m (-3.7%). VAT filings Oct 2025 – Sep 2026 SAR 288.1m (standard and zero-rated) agree with the accounts.
- Gross margin 13.2% (PY 15.1%; 9M2026 12.7%): PET resin up 18% in 2025, selling prices lagged (Note 9). Net profit SAR 4.8m (PY 15.0m), SAR 1.9m in 9M2026 (net margin 0.9%); one of six PET lines idle and two shifts instead of three (site visit 14/10/2026).
- Current assets SAR 123.1m: receivables 47%, inventory 40%, cash 5%. DSO 72 days (PY 70); inventory 71 days (PY 70). Receivables at 30/09/2026 SAR 57.0m, 90% within 90 days; top 2 customers 40% of receivables.
- Current ratio 0.75x (PY 0.84x): short-term Murabaha funds part of the plant. The DSCR breach at 31/12/2025 made the whole term loan callable; the accounts still show SAR 32.0m as non-current. If it is reclassified, current liabilities are SAR 195.7m and the current ratio 0.63x (reported 0.75x); the auditor's opinion is unqualified.
- Operating cash flow SAR 28.1m (PY 34.8m) and SAR 2.3m in 9M2026 against EBITDA SAR 28.6m: accruals and other liabilities fell SAR 11.1m and inventory rose SAR 4.6m; not explained by business.
- Re-performed debt service (3M SAIBOR assumed at 5.50%): annualised 9M2026 EBITDA SAR 38.1m. On the Coastal Gulf Bank schedule now in force (4 x SAR 9.0m in the next 12 months plus profit on SAR 110.4m) DSCR is 0.86x; under the requested structure (16 x SAR 4.5m over 48 months, SAIBOR + 1.25%) it is 1.50x. The proposed 1.20x covenant is met only because the request stretches a loan already rescheduled once to 30/09/2028 by a further two years: the takeover is, in effect, a second rescheduling.

Effects of the current market situation

Purchases from the two resin suppliers (SAR 159.4m in 2025) are 62% of cost of sales; PET resin prices rose 18% in 2025 (Note 9) and the main supplier (38.2% of purchases) is in the UAE on 120-day usance LCs, so shipping delays lengthen the cash cycle. A further 1 point fall in gross margin removes about SAR 3.0m of EBITDA (DSCR on the current schedule 0.79x). Export proceeds (24% of sales) are on 60-90 day terms.

Pricing

3M SAIBOR + 1.25% for a borrower that breached its covenant and was restructured on 18/03/2026 is 1.00% below the Coastal Gulf Bank price (2.25%) and below the Bank's grid of 2.50% for a new-to-bank BB- term loan; taking over a restructured facility at a discount transfers the risk without being paid for it.

Security

Machinery FSV SAR 105.0m covers 67% of the proposed facilities and 90% of the funded SAR 117.0m. The land is leased (no title deed; the industrial lease and landlord's consent were not provided) and the charge is registered to Coastal Gulf Bank until released. Insurance (SAR 175.0m, to 31/12/2026) names Coastal Gulf Bank as loss payee.

Guarantor net worth SAR 105.2m (31/07/2026), of which SAR 83.2m (79% of his assets) is his 60% of the borrower; outside the borrower SAR 22.0m = 14% of the facilities. Khalid Ibrahim Al-Mansour (40%) offers no guarantee.

Exceptions and other observations

- Exception: takeover of a facility restructured within the last 24 months (policy: CRO concurrence). Business gives no reason beyond pricing.
- Exception: pricing 1.25% below the risk-based grid; business conveys it matches a competing offer, copy not provided.
- Exception: tenor of the takeover term loan (48 months) beyond the current maturity of 30/09/2028.
- Not provided: industrial lease; payables ageing; Coastal Gulf Bank's rescheduling agreement and current facility letter (the 2023 offer letter was given instead).
- Staff: 386 on the Nitaqat certificate, 240 seen on site in two shifts (site visit 14/10/2026); not reconciled.
- What business says vs what credit could verify: 'no delays or restructuring' (SIMAH, Note 24, the bank statement and the guarantor's report: restructured 03/2026 after 31-60 DPD); 'moving for pricing' (covenant breached at the current bank; two other banks approached); asked at the site visit (14/10/2026) about the current bank's covenants, management said 'all in order'.

Key strengths

- Machinery market value SAR 162.0m (FSV 105.0m), average age 6.5 years; plant operating since 2011.
- Customer base: 14 GCC export customers (24% of sales) and 96 local customers (40%); top 2 = 36%.
- Receivables 90% within 90 days at 30/09/2026; DSO 72 days (FY2025).
- Revenue confirmed by 12 months of VAT filings and statement credits.

CREDIT DIVISION RECOMMENDATION

Credit division does not support the takeover as proposed. A restructuring not disclosed in the request, a covenant breach (DSCR 0.92x) and a gross margin down 2.4 points do not justify a price below the current bank's or a tenor beyond its rescheduled maturity.

1. Decline the request as proposed (SAR 157.0m at 3M SAIBOR + 1.25%, term loan 48 months).
2. Credit would reconsider a takeover of SAR 132.0m: term loan SAR 72.0m on the rescheduled schedule (8 quarterly instalments of SAR 9.0m to 30/09/2028, no extension), Murabaha SAR 30.0m and LCs SAR 30.0m against 15% margin, at 3M SAIBOR + 2.75% (floor 6.25%), classified 'restructured — watch' for 12 months.
3. Group exposure SAR 132.0m (funded SAR 102.0m); security as proposed plus the guarantee of Khalid Ibrahim Al-Mansour.
4. Approval authority: Credit Committee with CRO concurrence (restructured facility).

Additional conditions (prior to limit loading unless stated)

a) Prior to limit loading: Coastal Gulf Bank's rescheduling agreement of 18/03/2026, its current facility letter and a payoff letter with the release of the machinery charge.
b) Prior to limit loading: customer's written explanation of the statement 'no delays or restructuring' in letter NPI/CEO/2026/41.
c) Prior to limit loading: industrial lease and the landlord's consent to the charge; valuation by a Bank panel valuer.
d) Prior to limit loading: cash-flow projection 2027-2029 with resin +10% and price lag stress, showing DSCR not below 1.20x on the schedule above.
e) Prior to limit loading: personal guarantees of both shareholders with net-worth statements not older than 3 months.
f) Within 30 days of disbursement: charge over the machinery registered to the Bank; insurance loss payee changed to the Bank.
g) Monitoring: DSCR and margin tested semi-annually on management accounts; RM to report the PET line utilisation quarterly, reviewed by the regional head.

Omar Al-Ghamdi	**Abdullah Al-Zahrani**	
Credit Analyst	VP Credit	Chief Credit Officer

CRO review / comments

Credit committee approval / instructions

Approval authority: Credit Committee with CRO concurrence.

Chairman, Credit Committee	Member	Member